

NVIDIA Corporation

NVDA NASDAQ

Buy

\$197.79 ▲ 1.41%

12M Price Target
\$235.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$4.79T

NVDA: China Thaw + Hyperscaler Capex Keep the Bull Case Alive

WHAT HAPPENED

- Stock bounced back to \$197.79 after Wednesday's dip to \$190 — Microsoft's earnings basically told the market "we're spending \$41B on AI and it's working," which is a direct green light for NVDA since Microsoft is one of their biggest customers. AWS earnings echoed the same thing: cloud AI demand is accelerating, not slowing.
- Volume today is way lighter (33M vs 130M+ recent days) — that tells me this isn't a conviction rally, it's a drift higher into the weekend. The real move comes with NVDA's own earnings later this month.

WHY IT MATTERS

Here's what matters: two of NVDA's four biggest customers (Microsoft and Amazon) just confirmed they're spending MORE on AI infrastructure, not less. That's the whole ballgame — the bear case on NVDA has always been "what if hyperscalers pull back on capex" (capex = the money big tech spends on data centers and chips). This week just gutted that argument. The unusual call buying at \$200 strikes (223K contracts, 3.4x normal) tells me smart money is positioning for a breakout above \$200 into earnings. If NVDA prints another beat-and-raise quarter, we're looking at fresh all-time highs and a re-rating higher.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's evolving China chip export policy. In July, the White House allowed NVDA to resume selling H20 chips to China after months of restrictions — that's a multi-billion dollar revenue unlock. BUT there's a bipartisan push in Congress (led by Senate hawks) to reimpose stricter controls, arguing the H20 still enables Chinese military AI. If those restrictions tighten again, NVDA loses ~\$10-15B in annualized China revenue. On the tailwind side, the CHIPS Act 2.0 discussions and continued federal AI infrastructure spending (Stargate-adjacent projects) remain a structural positive.

IS IT EXPENSIVE?

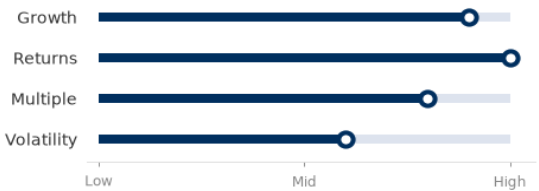
NVDA trades at roughly 34x forward earnings — meaning investors are paying \$34 today for every \$1 the company is expected to earn next year. That sounds expensive, but the company is growing revenue 50%+ and printing 55%+ operating margins, so PEG ratio (price-to-earnings adjusted for growth) is actually below 1, which is cheap for a mega-cap. At \$4.79T market cap it's the world's most valuable company — the question isn't whether it's expensive, it's whether the AI buildout justifies the size. Hyperscaler capex commentary this week says yes.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$197.79
12M Price Target	\$235.00
Upside / (Downside)	+18.8%
Market Cap	\$4.79T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	33.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$205.00	\$185.00
6 Months	\$240.00	\$220.00	\$175.00
1 Year	\$265.00	\$235.00	\$160.00
2 Years	\$320.00	\$275.00	\$150.00
5 Years	\$450.00	\$350.00	\$180.00
10 Years	\$700.00	\$500.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today) is ripping — that's a risk-on signal, meaning investors are willing to own growth again. Semis benefit from that same appetite.

COOLING OFF: Utilities and Energy — money is leaving defensive sectors, which is bullish for high-beta names like NVDA.

ROTATION WATCH: Money is rotating OUT of bond-proxies (utilities) and INTO growth/AI beneficiaries. This is textbook risk-on positioning ahead of earnings season, and NVDA is the biggest beneficiary of that rotation.

RELATED PLAY: If NVDA runs, the picks-and-shovels of the picks-and-shovels also run — think VRT (Vertiv, data center cooling), CEG (Constellation Energy, nuclear power for AI), and ANET (Arista, networking gear).

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Up big today — Wall Street is warming to the idea that AI accelerator demand is big enough for a #2 player to thrive. Not a threat to NVDA, but confirms the TAM (total addressable market) is expanding.
- AVGO (Broadcom): Custom AI chip designer for Google and Meta — riding the same hyperscaler capex wave.

NVDA CONTEXT: NVDA is at 47% of its 52-week range while AMD is ripping — that tells me NVDA is consolidating, not breaking down. When the leader consolidates while the group rallies, that's usually a setup for the leader to catch up, not roll over.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Hyperscaler capex confirmations this week removed the biggest overhang on the story. Not a 10 because China policy risk is genuinely binary.

POSITION SIZE: 5-8% of portfolio — this is a core AI holding, but concentration risk is real when one name is this big in the index already.

ENTRY POINTS: Add on dips to \$188-192. If we break \$185, wait for stabilization before adding — that would signal something bigger going wrong.

TIME HORIZON: 12-24 months. Near-term catalyst is late-August earnings; medium-term catalyst is Blackwell Ultra ramp and Rubin architecture reveal.

WHEN TO BAIL: If earnings show data center revenue growth decelerating below 30% YoY, or if China export controls get slammed back on. Either one changes the story.

HEDGING: Buy some downside protection (puts) 10% below current price into earnings — costs a little, but if the print disappoints, you're covered. Or just trim 20% of your position if it runs to \$220+ before earnings.